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कर्मचारी भविष्य निधि संगठन

(श्रम एवं रोजगार मंत्रालय, भारत सरकार)

EMPLOYEES' PROVIDENT FUND ORGANISATION

(Ministry of Labour & Employment, Govt. of India)

मुख्य कार्यालय / Head Office

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3 SEP 2015

To

All Addl. Central P.F Commissioner (Zone)
All Regional P.F Commissioners
Regional Offices/Sub-Regional Offices

Subject : Jurisdiction of Consumer Forum- regarding.

Sir,

As aware, the place of suing and the jurisdiction of the Consumer Forum, governed by section 11 of the **CONSUMER PROTECTION ACT, 1986**. The said section is reproduced as here in under:

(1) Subject to the other provisions of this Act, the District Forum shall have jurisdiction to entertain complaints where the value of the goods or services and the compensation, if any, claimed 1[does not exceed rupees twenty lakhs]

(2) A complaint shall be instituted in a District Forum within the local limits of whose jurisdiction-

- a) The opposite party or each of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides or carries on business or has a branch office or personally works for gain, or
- b) any of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides, or carries on business or has a branch office or personally works for gain, provided that in such case either the permission of the District Forum is given, or the opposite parties who do not reside, or carry on business or have a branch office or personally work for gain, as the case may be, acquiesce in such institution; or

c) the cause of action, wholly or in part, arises.

2. In this regard, a legal opinion was called for, from panel advocate whether cases filed by the P.F members at different District Consumer Forums other than the places where their P.F account are maintained in the office of Employees' Provident Fund Organization, is maintainable or not.

3. The opinion furnished by the panel advocate is reproduced as:

" Looking at the abovementioned provision, we can comprehend that the District Forum will have jurisdiction in those cases where-

- i. The opposite party/parties voluntarily resides/reside within the local limits of the said district court.
- ii. Carries on business within the local limits of the said district court.
- iii. Or has a branch office or personally works for gain, within the local limits of the said district court.
- iv. The cause of action wholly or partly arises within the local limits of the said district court.

INTERPRETATION OF THE WORD "BRANCH OFFICE" FOR THE PURPOSE OF JURISDICTION UNDER THE CONSUMER PROTECTION ACT, 1986

It is to be noted that the Section 11 of the Consumer Protection Act, 1986, above referred, confers jurisdiction upon a consumer forum within whose jurisdiction the "Branch Office" of the Opposite Party is situated. However, the question which until sometimes recently remained unanswered was whether the term "Branch office" was used for 'any branch office' or was used strictly in the sense of the branch office where the cause of action had arisen. No clarification with regard to the term "Branch Office" is available in the Consumer Protection Act, 1986.

It is pertinent to mention that the term "Branch office" was being misinterpreted & misused by the litigants/lawyers in order to confer jurisdiction upon a Forum which did not have jurisdiction to entertain a complaint. Much pertinent to note that the complaints were and infact are being filed even as of now only on the ground that the

Opposite Party is having a "Branch office" within the jurisdiction of a particular consumer forum. It is apposite to mention that in order to put an end to this chaotic situation, the Hon'ble Surepme Court of India, in the matter of *Sonic Surgical v. National Insurance co. ltd*", clarified and laid down the law in this regard.

In the particular case, a fire broke out in Ambala in the godown of the appellant, the insurance policy was also taken at Ambala and the claim for compensation was made at Chandigarh.

The appellant contended that the respondent insurance company has a branch office at Chandigarh and according to the new amended clause the complaint could be filed at Chandigarh.

However, the Supreme Court differed in its opinion and observed as under:

"7. Learned Counsel for the appellant then invited our attention to the amendment brought about in Section 17(2) of the Act in the year 2003. The Amended Section 17(2) of the Act reads as under:

(2) A complaint shall be instituted in a State Commission within the limits of whose jurisdiction,-

(a) the opposite party or each of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides or carries on business or has a branch office or personally works for gain; or

(b) any of the opposite parties, where there are more than one, at the time of the institution of the complaint, actually and voluntarily resides, or carries on business or has a branch office or personally works for gain, provided that in such case either the permission of the State Commission is given or the opposite parties who do not reside or carry on business or have a branch office or personally works for gain, as the case may be, acquiesce in such institution;

(c) the cause of action, wholly or in part, arises.

8. The aforesaid amendment came into force w.e.f. 15.3.2003 whereas the complaint in the present case has been filed in the year 2000 and the cause of action arose in 1999. Hence, in our opinion, the amended section will have no application to the case at hand.

9. Moreover, even if it had application, in our opinion, that will not help the case of the appellant. Learned Counsel for the appellant submitted that the respondent-insurance

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company has a branch office at Chandigarh and hence under the amended Section 17(2) the complaint could have been filed in Chandigarh. We regret, we cannot agree with the learned Counsel for the appellant. In our opinion, an interpretation has to be given to the amended Section 17(2)(b) of the Act, which does not lead to an absurd consequence. If the contention of the learned Counsel for the appellant is accepted, it will mean that even if a cause of action has arisen in Ambala, then too the complainant can file a claim petition even in Tamil Nadu or Gauhati or anywhere in India where a branch office of the insurance company is situated. We cannot agree with this contention. It will lead to absurd consequences and lead to bench hunting. In our opinion, the expression 'branch office' in the amended Section 17(2) would mean the branch office where the cause of action has arisen. No doubt this would be departing from the plain and literal words of Section 17(2)(b) of the Act but such departure is sometimes necessary (as it is in this case) to avoid absurdity. [vide G.P. Singh's Principles of Statutory Interpretation, Ninth Edition, 2004 P. 79]

Thus, applying the same corollary, the "Branch office" as mentioned in Section 11 of the Consumer Protection Act, 1986, will be only those "Branch Offices" where the cause of action has arisen and similarly only those District Forums will have jurisdiction where such "Branch office" is situated.

MATTERS RELATED TO EMPLOYEES' PROVIDENT FUND

Punjab State Consumer Disputes Redressal Commission, in Swati Mahajan v. The Central Provident Fund, reiterated that only those courts within whose local limits of jurisdiction, the cause of action arises, will have jurisdiction.

In the said case, the complainant was serving at Chandigarh and contributed towards the provident fund there, the head office of which is at Bangalore. It was contended that she had applied for the payment from Ludhiana; that she resides at Ludhiana and the respondents have a branch office at Ludhiana, therefore, the learned District Forum, Ludhiana had jurisdiction to try the complaint. This contention was not accepted by the learned District Forum stating that the residence of the complainant is immaterial for deciding the jurisdiction of the District Forum.

What is important is where the cause of action arose. Whether the complainant applied from Ludhiana or the respondents have a branch office at Ludhiana would also not confer jurisdiction on the District Forum, Ludhiana unless it is proved that a part of cause of action accrued at Ludhiana. In the present case, no part of cause of action is proved to have accrued at Ludhiana. The mere fact that a person applies for payment of provident fund dues from some place where he was not working would not confer jurisdiction on the District Forum of that place.

It is apposite to mention that in view of the provisions, case laws and the ratio, discussed hereinabove, the cases related to Employees Provident Fund Organization, the cause of action would arise at the place where the employee's PF account is maintained. Thus any deficiency in service or any other irregularity relating to provident fund would be at the branch where the PF account is. Since, most cases of EPF are related to the contribution or payment of dues, the cause of action should arise at the place where the PF account is maintained and merely having a branch office or residing at a particular place does not confer jurisdiction upon the district forum there.

In view of provisions, case laws and the ratio, discussed herein above, we are of the considered view that the cases filed by the Provident Fund members at District Forums other than those where their P.F. accounts are maintained by the Employees Provident Fund Organization, are not maintainable as the cause of action never arose there. The cause of action would be considered to have arisen only at the place where the P.F. Accounts are maintained.

3. Accordingly this legal opinion may be utilized to defend the Consumer Forum Cases properly and effectively. Any case filed in a Consumer Forum which does not come under the jurisdiction of EPFO Office where the accounts of the petitioner are kept, must be opposed in the very first instance.

Yours faithfully,

(M.P.Varghese)

Addl. Central P. F. Commissioner-1 (Legal)

2/10/15

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